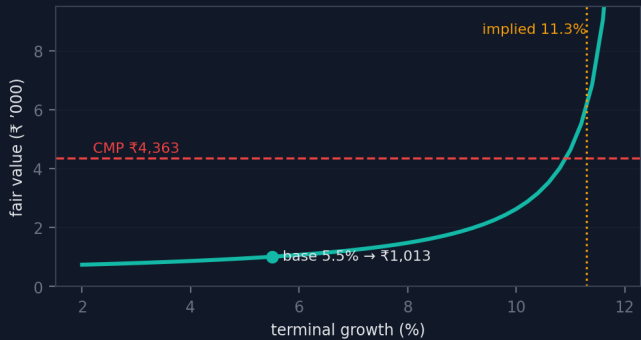


|                         |                          |                  |                                   |               |
|-------------------------|--------------------------|------------------|-----------------------------------|---------------|
| Current price<br>₹4,363 | DCF fair value<br>₹1,017 | Downside<br>-77% | Implied perpetual growth<br>11.3% | WACC<br>12.2% |
|-------------------------|--------------------------|------------------|-----------------------------------|---------------|

THESIS

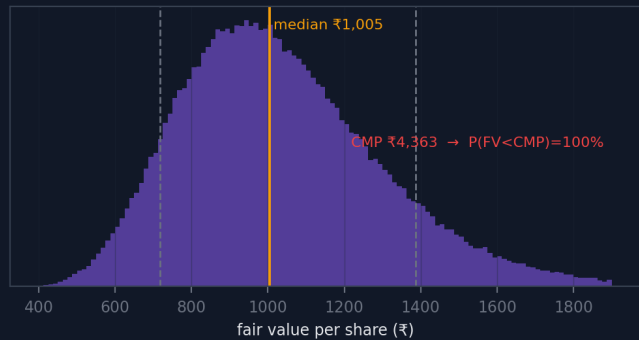
Titan is a best-in-class compounder — the dominant organised jewellery franchise (Tanishq), a long formalisation runway and excellent execution. But quality is not the question here; price is. At ~₹4,363 the stock trades at roughly 90-97× earnings, while a two-stage DCF anchored to FY25 audited actuals yields a fair value of ₹1,017 — about 77% below the market. A reverse-DCF shows the price already embeds ~11.3% perpetual FCFF growth versus ~5.5% nominal GDP. Recalibrating to a realistic 5.5% growth rate yields a fair value of ₹1,013.

Valuation · DCF



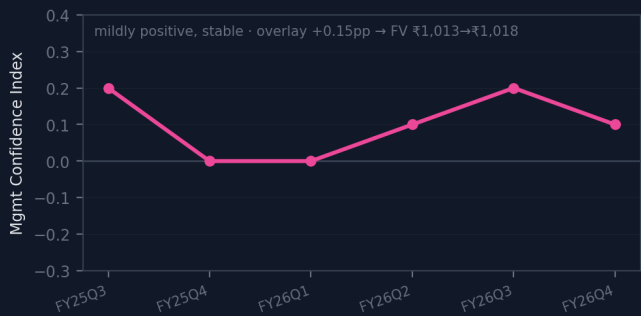
Two-stage 10-yr FCFF · WACC 12.2% (Rf 7.0, ERP 6.5,  $\beta$  0.85) · TV 65% of EV. Fair value ₹1,017; EV ₹1,01,522 Cr. Reverse-DCF: the market implies ~11.3% perpetual growth to justify ₹4,363.

Monte Carlo · 10,000 trials



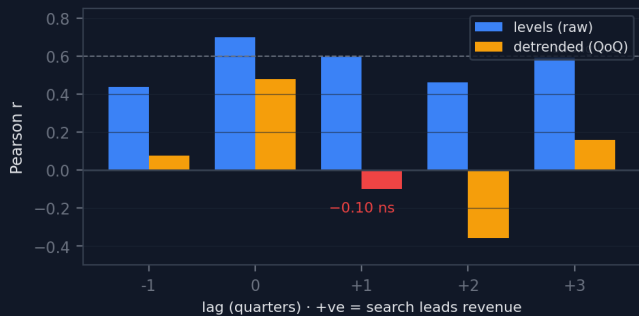
Median ₹1,005, 80% CI ₹718-₹1,387.  $P(\text{fair value} < \text{CMP}) = 100\%$  — not one simulated path reaches ₹4,363. Largest swing factors: EBITDA margin (+0.61) and WACC (-0.56).

Management sentiment · LLM



6 real earnings calls scored across 5 analyst dimensions. Confidence is mildly positive and stable (MCI +0.10) — strong growth conviction, tempered by margin caution and hedging. Bounded overlay moves FV only ₹1,013→₹1,018.

Alt-data · Google Trends



'Tanishq' search vs jewellery revenue. Raw levels look predictive, but detrended the signal is coincident, not leading — lag +1  $r = -0.10$  (ns). An honestly-reported null, not manufactured alpha.

WHAT WOULD CHANGE THE VIEW

A durable step-up in the growth algorithm (mid-to-high teens for longer) or structural margin expansion beyond ~11.5% would narrow the gap — but justifying ₹4,363 still requires underwriting ~11% perpetual FCFF growth, well above nominal GDP.

METHODOLOGY & DATA INTEGRITY

FY25-reanchored 3-statement model balances every year FY21-34; bullion ex-revenue; full Ind-AS 116 leases; jewellery on a standalone ex-bullion basis that reconciles 0.00% to Titan's filings. Conclusion reached by analysis — never reverse-engineered to market price — and cross-checked with an independent Python recompute.

Sources: Titan FY25 audited filings & 6 earnings-call transcripts · Monte Carlo (n=10,000) · Google Trends (live). Independent research — not investment advice.